EQUITY

What is equity? Equity is like buying a partnership in a business. This can be in the form of investing in a private business or buying shares for a publicly listed company. Here, when we talk about personal finance, we will mainly talk about publicly-listed companies and shares that we can invest in. This includes all the companies that are traded on the stock exchanges i.e. BSE, NSE, etc. So, buying equity can be done in two ways – Direct as well as Indirect.

DIRECT EQUITY

It refers to buying shares directly. Here, we get part ownership of the company. This means if we buy one share of a company that has 10,000 shares in sum, we become 1/10,000th partner of the company. So, as we have more and more shares, our ownership of the company increases.

INDIRECT EQUITY

Indirect equity investing refers to buying direct shares but through a portfolio management service or a mutual fund. So, we give our money to these asset management companies and they buy equity on our behalf using the skill and expertise that they have. In return, they charge a small fee.